تام المالية
TAM CAPITAL

# RISK MANAGEMENT POLICY

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**Approved by:** **Board of Directors**
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## 1. INTRODUCTION

The Risk Management Policy has been approved by the Board of Directors ("Board") of Tam Capital ("Company"). The purpose of the policy is to set out the application of the risk management principles that apply to Tam Capital to run its business, protect the interests of its investors and clients, and mitigate the risks of diminishing stakeholders' value.

This policy is designed to provide comprehensive guidance to the Company on the adoption and implementation of sound risk management practices. It outlines the approach to identifying, assessing, managing, and monitoring a wide range of risks that may affect the organization, including—but not limited to—market risk, credit risk, liquidity risk, operational risk, information technology (IT) risk, compliance risk, regulatory risk, and other emerging risks as specified within this document.

The policy also clearly defines the roles and responsibilities of key stakeholders in relation to the Company's risk management framework. It emphasizes the importance of embedding robust risk management processes and operational procedures that incorporate prudent risk limits, supported by effective risk measurement, continuous monitoring, and timely reporting mechanisms.

Key elements include:

- **The Board of Directors** is responsible for overseeing the overall risk governance structure. This includes approving risk management policies, setting the Company's risk appetite, and ensuring that appropriate controls are in place and functioning effectively.
- **Senior Management (direct reports to the CEO)** are accountable for implementing the Board-approved risk policies. They must ensure that effective internal procedures, risk control systems, and risk culture are established and maintained across all business functions.
- **Risk Management, Compliance, and Internal Audit Functions** each play critical, independent roles in monitoring, evaluating, and enhancing the Company's risk framework. These functions work collaboratively to ensure adherence to internal policies, external regulations, and industry best practices, while also providing assurance to the Board and Senior Management.

## 2. REFERENCE TO OTHER DOCUMENTS

The policy may be read in conjunction with following regulations and internal documents:

- Capital Market Law (CML)
- CMA Capital Market Institutions Regulations (CMIR)
- CMA Prudential Rules (PR)
- CMA Securities Business Regulations (SBR)

- CMA Market Conduct Regulations (MCR)
- CMA Investment Fund Regulations (IFR)
- Board Risk & Credit Committee Charter
- Information Security Policy
- Risk Appetite Framework
- Other relevant regulations, policies & procedures

Pursuant to any amendments or any statutory modifications or re-enactments in the above stated regulations, if there is any change in any of the parameter(s) framed by the Board, then the regulation will have the overriding effect on the parameter(s).

## 3. POLICY STATEMENTS

### 3.1 Enterprise Risk Management Framework

#### 3.1.1 What is Risk?

Risk is defined as the potential for loss, either directly through loss of earnings or capital or indirectly through the imposition of constraints on an organization's ability to meet its business objectives. Such constraints pose a risk, by limiting Company's ability to conduct its business or to take advantage of opportunities to enhance its business.

In short, the term "risk" is defined as the potential that events, expected or unexpected, may have an adverse impact on Company's earnings or capital or both. Risk and expected return are positively correlated; higher the risk, higher the expected return and vice-versa.

The assessment of risk exposures can range from simple, high-low matrix to complex statistical analysis that quantitatively estimates the probability of a loss occurring and/or the possible amount of the loss. The company in order to mitigate these risks can put policies and procedures in place.

#### 3.1.2 Risk Management Process

The primary goals of risk management are to ensure that the outcomes of risk-taking activities are consistent with Company's strategies and risk appetite, and that there is an appropriate balance between risk and reward in order to maximize shareholder returns. The Company's enterprise-wide risk management framework provides the foundation for achieving these goals. Activities of a risk management function can be categorized into the following general processes, understanding of which for the risk management department, and the company, is helpful:

**RISK IDENTIFICATION**

- Identify all risks that the company is exposed to in conducting its business so as to protect client and company interest at all times.
- The risk appetite for the company to be decided by the company's business objectives.

**RISK ASSESSMENT/MEASUREMENT**

- Use of methodologies that are coherent and relevant based on data, assumptions and parameters, some being supported by the past evidence (e.g. former loss events) and others being chosen for the purpose of the exercise (time horizon, trading strategy, etc.).
- The company should aim to choose standards that are in the best interest of their clients and investors.

**MONITORING AND CONTROL**

- Updating and reporting of relevant information in a timely fashion
- Monitoring of exposures regularly, accurately and timely
- Continuous reassessment of risks
- Verify that limits are not exceeded
- Appropriate controls to be in place

### 3.1.3 Risk Appetite Framework

The Company shall establish a comprehensive Risk Appetite Framework (RAF) that serves as a vital bridge between its overarching corporate strategy and the day-to-day decisions involving risk-taking. This framework ensures that risk assumptions made throughout the organization are aligned with the Company's strategic goals, financial capacity, and operational capabilities. It provides a structured approach to defining, communicating, and monitoring the types and levels of risk the Company is willing and able to accept in pursuit of its objectives.

The Risk Appetite Framework addresses the following key components:

Strategic Risk Alignment: Identifies the specific categories of risk that the Company is prepared to assume as a consequence of executing its strategic plans. This ensures that all risk-taking activities are intentional and aligned with long-term goals.

Risk Capacity and Risk Appetite: Defines the Risk Capacity—the absolute maximum level of risk the Company can sustain without jeopardizing its viability—and the Risk Appetite—the level of risk the Company is willing to accept in pursuit of its objectives, recognizing its strategic, operational, and financial constraints.

Risk Limits for Other Quantifiable Risks: Establishes thresholds for various other quantifiable risks (e.g., credit, market, operational), which serve to contain exposure within acceptable boundaries and prevent the accumulation of excessive or concentrated risks.

Business Unit-Level Risk Appetite: Provides guidance on the acceptable level of risk for each Business Line, balancing risk and return expectations. These measurements help business units make informed decisions consistent with the enterprise-wide risk posture.

Qualitative Aspects of Risk Management: Captures the Company's desired risk culture, including leadership expectations, staff behaviors, and decision-making principles. It also incorporates the role of compensation structures, IT and cybersecurity resilience, and the compliance environment as foundational elements for embedding the Risk Appetite Framework across the organization.

By integrating both quantitative and qualitative components, the RAF ensures that risk is managed proactively, consistently, and in alignment with the Company's values and strategic intent.

### 3.2 Types of Risk and their management

**Market Risk**

Market risk refers to the risk of loss resulting from movements in market prices and rates, in particular, changes in equity prices, interest rates, foreign exchange rates, credit spreads and commodity prices, the correlations among them and their volatility. The Company's consideration of market risk should capture proprietary and also risk factors that the funds and portfolios are exposed to, and it must manage these risks soundly.

A description of each market risk category is provided below:

- Interest rate risk: The risk of loss due to changes in the level, slope and curvature of the yield curve; the volatility of interest rates; and mortgage prepayment rates
- Credit spread risk: The risk of loss due to changes in the market price of credit, or the creditworthiness of issuers.
- Foreign currency risk: The risk of loss due to changes in spot and forward prices, and the volatility of currency exchange rates.
- Equity risk: The risk of loss due to changes in the prices, and the volatility, of individual equity instruments and equity indices.
- Commodity risk: The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals, and energy products.

In asset management activities, as the investors bears the benefits and losses, the Company has to ensure that:

- The main risks are clearly explained to the clients before investing by way of explicitly mentioning the risks inherent in the funds in the prospectus, marketing material, terms and conditions, etc.
- Make sure that clients formally agree the terms and conditions of their investment and acknowledge the understanding of these risks.
- Ensure that the risk profile of the fund/portfolio is in line with the risk profile of the underlying instruments in the fund/portfolio.

For advisory and arranging service, there is no direct effect of market risks on the business lines. However, the Company needs to take sufficient care in understanding all the possible risk factors that may be involved in the course of advising clients. In the case of underwriting securities in the arranging business, the Company may be directly exposed to market risks as the investments may be exposed to fluctuations, in which case these investments will be treated as proprietary investments.

**Credit Risk**

Credit risk is the risk arising from the failure or uncertainty of an obligor's ability to perform its contractual obligations and in certain case to default. Investments are also exposed to credit and counterparty risk from diverse financial instruments such as bonds, sukuks, financial futures, swaps, options, commitments and guarantees and other financial derivatives, etc. Any deterioration in credit quality could result in depressing value of assets or even lead to loss of principal at maturity in case of default.

The Company's business lines are not exposed to any credit risk element. The only credit risk element involved in transactions is the recovery of fees from the client. The Company will sign enforceable documents at the time of signing client engagement to ensure client's obligation to pay the success / advisory / arranging fee for projects.

Any proprietary investments shall be also exposed to credit risk and this is governed by the Proprietary Investment Policy

**Liquidity Risk**

In general, liquidity risk is the risk that the Company is unable to meet its financial obligations in a timely manner at reasonable prices.

The Company shall ensure measuring and forecasting any significant cash inflows and outflows on a regular basis.

**Legal / Compliance / Regulatory / Statutory Risks**

Compliance/Legal/Regulatory/Statutory risk is the current and prospective risk to earnings or capital arising from violations of, or non-conformance with, laws, rules and regulations set forth by the CMA and other governmental and supervising agencies within Kingdom of Saudi Arabia, in addition to the best and common practices and ethical standards.

These risks expose the institution to fines, civil money penalties, payment of damages, voiding of contracts and it might reach the extent of cancellation of the licenses issued by the CMA, for any major breaches. Compliance risk can lead to diminished reputation, reduced franchise value, limited business opportunities, reduced expansion potential, and an inability to enforce contracts.

Changes in laws, litigation claims and assessments can also result in increased competitive pressures and significantly affect the Company's ability to efficiently conduct business. Code of Conduct issues and compliance with various laws are discussed in detail in the Code of Conduct and Compliance Policies respectively.

Compliance, Regulatory and Statutory risks are within the overall responsibilities of the Compliance Department. The Head of Compliance would be responsible for managing regulatory

and compliance risks. The Company should measure its vulnerability to loss (on an on-going basis).

The Legal Risk aspect shall be considered for any major engagements and contracts and advice of legal counsel shall be taken on specific matters which needs expertise view from a legal standpoint.

**Investment Compliance Risks**

Investment compliance risk refers to the potential for breaches or non-compliance with investment guidelines and limits set at various levels—ranging from regulatory and statutory requirements to internal policies. This risk is particularly relevant to the Asset Management business line, where strict adherence to defined investment parameters is essential to ensure regulatory compliance, client trust, and operational integrity.

For mutual funds (both public and private), investment compliance is governed by a comprehensive set of guidelines, including:

- Investment Fund Regulations (IFR) issued by the Capital Market Authority (CMA)
- Real Estate Investment Fund Regulations (REIFR) issued by the CMA
- Fund Terms and Conditions, as approved by the CMA
- Investment Policy Guidelines, as endorsed by the Fund Board
- Internal Authorizations issued to fund managers by the Chief Investment Officer (CIO) or Chief Executive Officer (CEO)

For discretionary portfolios, the compliance framework is guided by:

- Portfolio Management Agreements established with clients
- Client-Specific Investment Policy Guidelines, mutually agreed upon
- Internal Authorizations issued to portfolio managers by the CIO/CEO

These layers of control are designed to ensure that investment activities remain within approved mandates, mitigate the risk of violations, and align investment decisions with both regulatory expectations and client objectives.

**Technological / Information Security Risks**

From an IT security perspective, risk management involves identifying, assessing, and addressing threats that could compromise the confidentiality, integrity, or availability (CIA) of the Company's information systems. An IT security risk arises when a deliberate attack or accidental event causes damage to business processes or the information they rely on, potentially disrupting operations and violating established security protocols.

A vulnerability refers to a flaw or weakness in system security design, configuration, procedures, implementation, or internal controls that may be accidentally triggered or intentionally exploited.

If such a weakness is exercised, it can result in a security breach or a violation of the organization's information security policies.

Some common indicators of vulnerabilities related to contingency planning and disaster recovery include:

- Absence of well-defined contingency directives and procedures
- Lack of a documented, tested contingency plan
- Inadequate formal training on contingency and emergency response
- Insufficient or missing data and system backups
- Poorly defined or incomplete recovery procedures across all IT processing areas, including networks
- No designated alternate sites for processing or storage
- Lack of backup communication services

To mitigate such risks, the Company shall implement a robust IT Risk & Control Matrix, which focuses on identifying key IT risks and the corresponding controls to manage and monitor them effectively. This matrix serves as a foundation for ongoing risk assessment and control validation activities within the IT environment.

In addition, the Company shall establish a comprehensive Cybersecurity / Information Security Policy, detailing strategic initiatives to strengthen the Company's information security posture. This includes measures for access control, data protection, threat detection and response, user awareness training, and regulatory compliance.

Furthermore, the Company recognizes the critical importance of Business Continuity Planning (BCP) and Disaster Recovery Planning (DRP). The BCP is essential not only for operational resilience but also to meet regulatory requirements. It ensures that the Company remains functional during and after a crisis, by safeguarding assets, preserving customer trust, and facilitating the rapid restoration of essential services.

The Disaster Recovery Plan supports the BCP by providing detailed protocols for restoring IT infrastructure and services following a disruptive event. Given the Company's heavy reliance on third-party IT systems and service providers, special attention shall be given to securing these external dependencies to ensure continuity and data integrity.

The Company is fully committed to maintaining high standards of business continuity and disaster recovery, recognizing the need to protect its clients, employees, and stakeholders. By ensuring a well-coordinated response and rapid recovery from adverse events, the Company safeguards its reputation, revenue, and long-term sustainability.

**Operational Risks**

Operational risk is the risk of loss, whether direct or indirect, to which the company is exposed to, resulting from inadequate or failed internal processes, people and systems or from external events. It results from human error, systems failure, external events, process design inefficiency, people inefficiency, frauds, intentional sabotage, etc. It exists in some form in every company and function. Operational risk can not only result in financial loss, but also regulatory sanctions and damage to the Company's reputation.

The Company has developed policies, processes and assessment methodologies to ensure that operational risk is appropriately identified and managed with effective controls. The governing principles of the Operational Risk Management Framework include various lines of defense that helps to ensure proper accountability and clearly defines the roles and responsibilities for operational risk management. The first line of defense is the business units, who own the risks in their businesses and operations. The second line of defense includes compliance and governance function carried out at management and board level. The third line of defense is internal audit services that will be obtained on periodic basis.

In developing various policies and procedures, management would consider the following:

- Code of Conduct: In the interest of the Company employees should conduct activities with prudence and integrity. In this regard, the company has established a Code of Conduct that is commensurate with its structure and complexity of operations.
- Delegation of Authority: Have clearly defined responsibilities and levels of authority required for the various types of activities and exposures.
- Segregation of Duties: Ensure that there is adequate segregation of duties to guard against the risk of unauthorized transactions, fraudulent activities and manipulation of data for personal gain or for concealment of irregularities or financial losses.
- Compliance: Affirm the importance of the Compliance function by appointing senior personnel, or an appropriate unit, to oversee compliance related issues.
- Accounting and Record keeping: Implement adequate controls over its accounting and other record-keeping processes for both on and off balance sheet assets and liabilities. Moreover, it should also ensure that staff responsible for accounting and record-keeping functions is independent of front-office activities.

**Strategic & Business Risks**

Strategic risk arises when the Company's business strategies are ineffective, poorly executed, or unable to adapt to changes in the external environment. Business risk refers to the uncertainty in achieving profits due to unforeseen events that may disrupt operations. These risks can be internal (originating within the Company) or external (arising from outside factors).

A key external business risk is economic risk, which involves the potential impact of macroeconomic factors such as regulation, currency fluctuations, or political instability—especially in foreign markets. Understanding the Company's sensitivity to economic cycles (booms and busts) is essential for building resilience and ensuring long-term success.

Key potential business risks must be identified during the Company's budgeting and forecasting process. The insights from this process shall be used to conduct a sensitivity analysis on projected net income, the results of which are incorporated into the annual budget report submitted to the Board of Directors for review and approval. The Company's exposure to business risk is thus addressed within the framework of budgeted income.

Regarding economic risk, critical external factors—particularly the outlook for capital markets, including both debt and equity markets—are closely monitored, as they have a direct impact on the Company's operations. These factors are integral inputs in the budgeting process. Additionally, various economic scenarios are analyzed before finalizing the budget for the upcoming fiscal year to ensure preparedness for different market conditions.

Monitoring and control shall be overseen by the Chief Financial Officer (CFO), who shall track performance against strategic goals and budgetary targets. Regular reports shall be submitted to the Chief Executive Officer (CEO) and senior management monthly, and to the Board of Directors at defined intervals.

The Company also recognizes client concentration risk as a significant strategic risk. To mitigate this, client concentration is tracked and reported regularly across all key business segments, including asset management and arranging business and at the enterprise-wide level.

A comprehensive financial review shall be presented at each Board meeting. Additionally, the potential impact of strategic risk on capital adequacy is considered in the Company's capital planning, with various contingency actions outlined as part of risk mitigation strategies.

## 4. RESPONSIBILITIES

The following are the broad roles and responsibilities of the different personnel in the risk management framework/process:

**Board of Directors**

The Board of Directors is responsible for providing governance, guidance and oversight to the senior management. It is a joint responsibility of the Board and management to promote high ethical and integrity standards and for establishing a culture within the organization that emphasizes the importance of internal controls, to all levels of personnel.

Though the responsibility for management and control of risks lies with the management, the overall risk management supervision for the Company as a whole is carried out by the Board of Directors. The Board is ultimately responsible for ensuring that an adequate and effective system of internal controls is established and maintained. Some of their key responsibilities are as follows:

- Approve strategies and policies;
- Approve appropriate risk management organizational structure;
- Ensure that senior management takes necessary steps to identify, measure, control and monitor risk;
- Ensure that senior management is monitoring the effectiveness of the internal control system;

**Board Risk & Credit Committee (BRC)**

The purpose of the Board Risk & Credit Committee is to assist the Board of Directors in fulfilling its oversight responsibilities with regard to the risk appetite of the Company and the risk management framework and the governance structure that supports it. The scope of review of the BRC will be across all risks that the Company will be exposed to. The Committee, acting in line with regulations and compliance, must seek to minimize the Company's risks and will suggest, if necessary, improvements to the existing risk control procedures and rules in order to protect investors and Company's interests. A detailed outline of the responsibilities of the Committee shall be part of the Board Risk Committee Charter.

**Board Audit Committee**

The Audit Committee's role in relation to risk management is to ensure that management has developed and followed an adequate system of internal controls. It shall help the Company to accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

**Chief Executive Officer**

The key responsibilities of the CEO and are as follows:

- Take decisions, provide support and approve resources to enable implementation of risk management initiatives across the organization.
- Review risk reports received from RMD.
- Respond in a timely manner in case of occurrence of incidents / events requiring CEO involvement.
- Review adequacy of proposed risk mitigating measures and provide suggestions on strengthening these measures (where applicable).

**Head of Compliance / Compliance Department**

The Head of Compliance / Compliance department would assume the following responsibilities in compliance, legal, regulatory and statutory risk management framework:

- Report about all identified important matters and the action plan.
- Communicate and ensure compliance with applicable laws, regulations, rules and corporate policies and high ethical standards.
- Support senior management by providing advice, education and monitoring across the entire range of the company's business activities, control and operational functions.
- Ensure effective legal and compliance risk management throughout the Company on a day to day basis by ensuring that the Company adheres to the laws of the State and the regulations set forth by the regulatory authorities and statutory policies.
- Provide leadership on key global initiatives; handle complex regulatory and internal investigations and examinations.
- Anticipate changing trends in the legal environment and understand how to balance competitive and business pressures against legal and reputation risk by adopting "best practices".
- Execute the Compliance Review Plan and report the findings to the Audit Committee and CEO.

**Head of Information Technology / IT Function**

Primarily, the IT department will be responsible for ensuring the confidentiality, integrity and availability of Company assets, information, data and IT services. The IT department will also be involved on Company-wide approach to security management, having wider scope than IT services like handling of paper, building access, phone calls etc.

Some of the key responsibilities of the IT department with respect to risk management are as follows:

- Apply Information security best practices.
- Review and assess all major infrastructure and/or applications changes and advice on security controls and enhancements.
- Contribute to develop a security awareness program.

- Assess current security framework for application, anti-virus, firewall and give recommendations.
- Prepare and provide advice on enhancement of BCP (Business Continuity Plan).

**Department Heads and Process Owners**

The Department Head's (DH) are basically responsible for formulating policies and procedures for their respective departments. The same needs to be discussed with the process owners who are in charge of carrying out routine day-to-day work of executing their respective operational / functional role in the Company. DHs discuss policies and procedures management and finalize the risk management framework for its execution and compliance within the Company.

The DH should ensure that the business conducted within its department is consistent with the risk framework – policies and procedures. They are primarily responsible for ensuring the risk policies, procedures and methodologies are appropriately implemented.

Some of the key roles performed by DHs are as follows:

- Identify and assess risks faced by the department / function.
- Approve / amend / aid mitigation plans. Initiate risk reduction or controlling actions to mitigate the risks.
- Control, monitor and reassess risks on a periodic basis.
- Respond in a timely manner to incidents / events which materialize and escalate it to the senior management where required.
- Inform, train and update their department staff with respect to the risks effecting their work/business.

## 5. AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed.